

Chapter 6

THE DOW JONES TRANSPORTATION AVERAGE

PERSPECTIVE

When *Elliott Wave Principle* was published in November 1978, the DJTA was precisely at the end of its decade-long bear market pattern and was selling for just above 200. After climbing over seven times in value, the DJTA made its orthodox (i.e., end-of-pattern) top on September 5, 1989. That peak was one of the most dramatic events ever in the U.S. stock market. The airline stocks, led by take-over target UAL Corp., were streaking higher that summer, and speculative fever was sky-high. One month before the high, with the DJTA in the 1200s, *The Elliott Wave Theorist* made this forecast:

The DJ Transports, as Dave Allman has suggested, may have ended a triangle correction [for wave IV] in 1978. The chart shows the wave count and the neat Elliott Wave parallel trend channel that contains the post-1978 rise. The DJTA, then, is probably near the end of its Primary wave ⑤. If prices reach the upper channel line, now in the 1400s, a peak will be at hand. The yield in the Transports would [then] be approaching a surreal 1%.

One week before the top, the August 28, 1989 issue was unequivocal:

The Dow Transports have reached their Primary wave ⑤ upside target zone, fulfilling the expectations from last month, while simultaneously reaching the resistance line of the long term parallel trend channel. [See Figure 6-1.] On a percentage basis, the Transports have undergone the same advance that EWT forecasted for the Industrials way back in 1982! The current Transports' yield of 1.3% [is] well within normal range at a Grand Supercycle top.

The Transports reached their closing high of 1532.01 on September 5, 1989. The soaring rise ended right at the junction of the average's Cycle and Supercycle degree Elliott Wave channel lines